2. This law is the basis for other consumption laws such as Law of Demand, Elasticity of Demand, Consumer's Surplus and the Law of Substitution etc.
3. The Finance Minister taxes a more-moneyed person more and a less-moneyed person less. When a person's income rises, the tax-rate rises because the MU of money to him falls with every rise in his income. Thus, the Law of DMU is the basis for progressive taxation.
4. This law emphasises equitable distribution of wealth. The MU of money to the more-moneyed is low. Hence, redistribution of income from rich to the poor is justified.
5. Adam Smith explains the famous "diamond-water paradox". Diamond is scarce, hence, its MU is high and its price is high, even though it is not very much needed. Water is abundant, hence, its MU is low and its price is low, even though it is very much essential.



2.6 The Law of Equi-Marginal Utility

The law of diminishing marginal utility is applicable only to the want of a single commodity. But in reality, wants are unlimited and these wants are to be satisfied. Hence, to analyze such a situation, the law of diminishing marginal utility is extended and is called "The *Law of Equi-Marginal Utility*". It is also called the "*Law of Substitution*", "The Law of Consumers Equilibrium", "*Gossen's Second Law*" and "*The Law of Maximum Satisfaction*".

Definition

Marshall states the law as, "*If a person has a thing which he can put to several uses, he will distribute it among these uses in such a way that it has the same marginal utility in all. For, if it had a greater marginal utility in one use than another he would gain by taking away some of it from the second use and applying it to the first*".

Assumptions

1. The consumer is rational in the sense that he wants to get maximum satisfaction.
2. The utility of each commodity is measurable in cardinal numbers.
3. The marginal utility of money remains constant.
4. The income of the consumer is given.
5. There is perfect competition in the market
6. The prices of the commodities are given.
7. The law of diminishing marginal utility operates.

Explanation

The law can be explained with the help of an example. Suppose a consumer wants to spend his limited income on Apple and Orange. He is said to be in equilibrium, only when he gets maximum satisfaction with his limited income. Therefore, he will be in equilibrium, when,

$$\frac{\text{Marginal utility of Apple}}{\text{Price of Apple}} = \frac{\text{Marginal utility of Orange}}{\text{Price of Orange}} = K$$